

MS5612: Real Options Valuation

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Finance could broadly be divided into 3 parts: 1. Personal Finance, Corporate Finance, and Financial Markets

How do businesses manage their financing? - Corp Fin is mostly about it.

Corp Fin could again broadly be classified into two: Investment and Financing.

Investment decisions result in assets and financing decisions result in liabilities.

Stocks could be valued in any of the following methods:

- Comparative method
- Dividend Discount method
- Free Cash Flow method
- Book Value

How do we value Debt?

- present value of cashflows of the debt (interest + principal)

How do we value projects (assets)?

- Discounted Cashflow Method (DCM)

Keyword: Fortune 500 Keyword: Managers **create** shareholder value.

Most Fortune 500 firms use real options. But as per McKinzie's India head, almost no Indian company is using real options. So, there is an opportunity.

1.1 DCF vs Options Approach

- DCF involves limited discretionary power, but options provide flexibility.
- If people are liking flexibility, we may value this flexibility.
- Managers create flexibility where seemingly none exists.